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BOARD DECISION | 5. 2. 2026

Statement of the Bank Board for the press conference following the monetary policy meeting

Decision

At its meeting today, the Bank Board kept interest rates unchanged. The two-week repo rate thus remains at 3.5%. All seven members voted in favour of this decision.

Inflation has been close to the 2% target since January 2024. According to the Monetary Department's new forecast, headline inflation will be below 2% throughout 2026 and very close to the inflation target in 2027. However, core inflation will remain elevated in the quarters ahead.

Given the current and expected developments, relatively tight monetary policy compared to the past is still needed. Gradually accelerating credit growth is fostering a rise in the quantity of money in the economy. The labour market remains tight and wages are rising at an elevated pace. Household consumption is also increasing. Still elevated services inflation and property price growth are having an inflationary effect.

Today's decision aims to keep headline inflation stabilised close to the 2% inflation target even after the temporary factors that are lowering it this year dissipate. This requires credit growth not to be excessive and, therefore, growth in the quantity of money in the economy to remain appropriate. By ensuring this, monetary policy will help keep inflation low.

At its meetings ahead, the Bank Board will base its decisions on an assessment of newly available data and their implications for the inflation outlook. Its considerations about the interest rate settings will depend mainly on an evaluation of the persistence of the low-inflation environment, koruna exchange rate developments, the effect of fiscal policy on the economy, an analysis of the tightness in the labour market, and changes in domestic and external demand. The Bank Board will also monitor the actions of key foreign central banks, geopolitical events, the situation on foreign financial markets and developments in trade relations between countries. It will also assess the transmission of monetary policy to domestic lending activity, asset prices – above all property prices – and subsequently real economic activity and prices.

The Bank Board confirms its determination to continue its monetary policy in order to maintain inflation near the 2% target in the long term. At present, this still requires relatively tight monetary policy.

Economic developments

According to the CZSO's flash estimate, GDP rose by 0.5% quarter on quarter and by 2.4% year on year in 2025 Q4. The economy grew by 2.5% in 2025 as a whole.

Domestic economic growth is still being driven mainly by household consumption. By contrast, private sector investment activity is subdued. Unemployment remains low. Wages rose by 7.1% year on year in 2025 Q3.

Long-term above-average wage growth is contributing to inflationary pressures from the domestic economy. These are reflected mainly in persistently elevated services inflation and significant growth in property prices. This is amplified by the fact that wages are growing fastest in the service sector.

Outlook

According to the Monetary Department's forecast, inflation will be below 2% this year. Inflation is forecasted to reach 1.6% on average in 2026 as a whole and 2.1% in 2027. The temporary decline in inflation this year mainly reflects the transfer of the renewable energy sources fee to the state budget.

According to the Monetary Department's forecast, Czech GDP will grow by 2.9% this year and next year.

Risks and uncertainties

The Bank Board assessed the risks and uncertainties of the outlook for the fulfilment of the inflation target as balanced overall. A possible acceleration in the growth of the money supply in the economy caused by lending to households and general government is an upside risk to inflation. Potential additional growth in total public sector spending would lead to a risk of fiscal policy having an even greater inflationary effect. Continued rapid wage growth related to persistent tightness in the labour market is an additional inflationary risk. The risk of inertia in elevated services inflation, including imputed rent, persists. By contrast, a stronger koruna exchange rate could have an anti-inflationary effect. Increasing barriers to international trade are a downside risk to global economic activity. The weak performance of some euro area economies is an anti-inflationary risk. A global correction of asset prices in an environment of high government debt in some developed countries is another. The development of the war in Ukraine still represents an uncertainty.

Statutory mandate

The Bank Board assures the public that the CNB's actions will be sufficient to maintain price stability in accordance with its statutory mandate. In addition, the Bank Board is ready to react appropriately to any materialisation of the risks of the outlook for the fulfilment of the inflation target.

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